

Growth Loops Identification – Instagram



- Imagine you're a PM at Instagram, and you are tasked with growing growth opportunities. The first step is to identify all growth loops in the app.
- Go through the user journey in the app, then identify and document:
 - Growth Loop Type: Viral, Content, Paid
 - The What, Who and Why for each step of each loop
- Your goal is to turn your research & understanding about the growth loops into:
 - Apply findings in Instagram to improve any 1 loop to drive future growth.
 - What will be the Epics for the improved feature, and how will you prioritize them?
 - Make sure to justify with a clear rationale coming from user research and/or product strategy
- Prioritize the Epics using the RICE framework

USERS



Pratik

Software Engineer 📍 Bengaluru, India

Bio

Pratik is a software engineer, a tech savvy who works from home. He believes regular experience habit is essential to maintain work performance. For the past couple of years he has been interested in maintaining a good fitness lifestyle, and stay active on social media to explore and post about fitness relevant topics.

Goals & Interests

- To play basketball in order to keep fitness lifestyle
- Find sport venues that suits his preference
- To be able to share activities with friends, collaborate with them on various stuff
- Expand social circle

Motivations

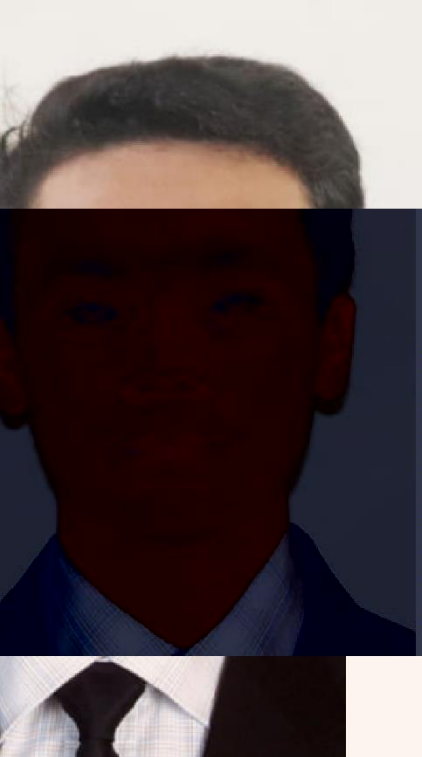
Good fitness lifestyle	80%	
Good work performance	90%	
Expand social circle	50%	

Pain Points & Concerns

- Work schedules not permitting him to look for venues.
- Contacting friends directly via call is always not feasible.
- No detailed information about new colleagues/ friends

Personality

Introvert	
Analytical	
Sensing	
Judging	



Raj

Student 📍 Pune , Maharashtra

Bio

Raj is a final year student who is fascinated about playing table tennis. He is well known in his college for organizing competitions with his friends. He has earned many badges, having his name in the school wall of fame. He seeks to boast about his achievements but often shys away thinking people won't care.

Goals & Interests

- Organize tennis game to win awards
- Play in competitions and post about them.
- Looking for exposure and acclaim via social media
- Wants to show off his wins and prizes.

Motivations

Awards	80%	
Winning Competitions	90%	
Fun	90%	

Pain Points & Concerns

- Takes a lot of time to create an engaging media post
- Wants to be recognized across his followers and beyond.
- Looking for a ways to boost his following.

Personality

Extrovert	
Analytical	
Sensing	
Judging	

USER JOURNEY

Let's start by understanding user journey, breaking it down into key stages and touchpoints. This analysis will help us understand how users interact with the platform and identify potential areas for improvement or growth.

1. Awareness and Discovery

- Users become aware of Instagram through various channels:
 - Word of mouth from friends and family
 - Social media mentions on other platforms
 - App store recommendations
 - Traditional advertising or influencer marketing
- Potential users may also discover Instagram content through web searches or embedded posts on websites

2. Sign-up and Onboarding

- User Joins Instagram: User signs up via invitation, social media link, or organic search.

Motivation: Curiosity, staying connected with friends, or interest in sharing their own content

- Create an account using email, phone number, or Facebook login
- Set up their profile:
 - Choose a username
 - Add a profile picture
 - Write a bio
- Initial content and account recommendations based on interests or contacts

3. Content Consumption

- Browse the main feed (algorithm-curated content)
- Explore page for discovering new content and accounts
- View Stories from followed accounts
- Watch Reels (short-form video content)
- Check out IGTV for longer videos

4. Engagement

Motivation: Self-expression, sharing experiences, or gaining social validation through likes and comments.

- Like, comment on, or save posts
- Share posts to Stories or direct messages
- Participate in polls, quizzes, or Q&As in Stories
- Follow new accounts
- Use hashtags to discover and categorize content:

5. Content Creation

Motivation: Increase visibility, gain followers, or engage more deeply with the community.

- Take photos or videos within the app
- Upload existing media from device
- Apply filters and edits
- Add captions, location tags, and user tags
- Create Stories with various interactive features
- Produce Reels with music and effects

6. Social Interaction

Motivation: Can include staying connected with friends, gaining new information about relevant topics etc

- Direct messaging with individuals or groups
- Respond to comments on posts
- Mention or tag other users in posts or Stories
- Collaborate with other users on content (e.g., Reels duets)

7. Retention and Reengagement

- Receive push notifications for new content, likes, comments, etc.
- Get email digests of missed activity
- See "suggested posts" when caught up with followed content
- Encounter cross-app prompts (e.g., from Facebook to Instagram)

8. Monetization (for creators and businesses)

- Set up a business or creator account
- Use Instagram's advertising tools
- Implement shopping features for products
- Collaborate with brands for sponsored content

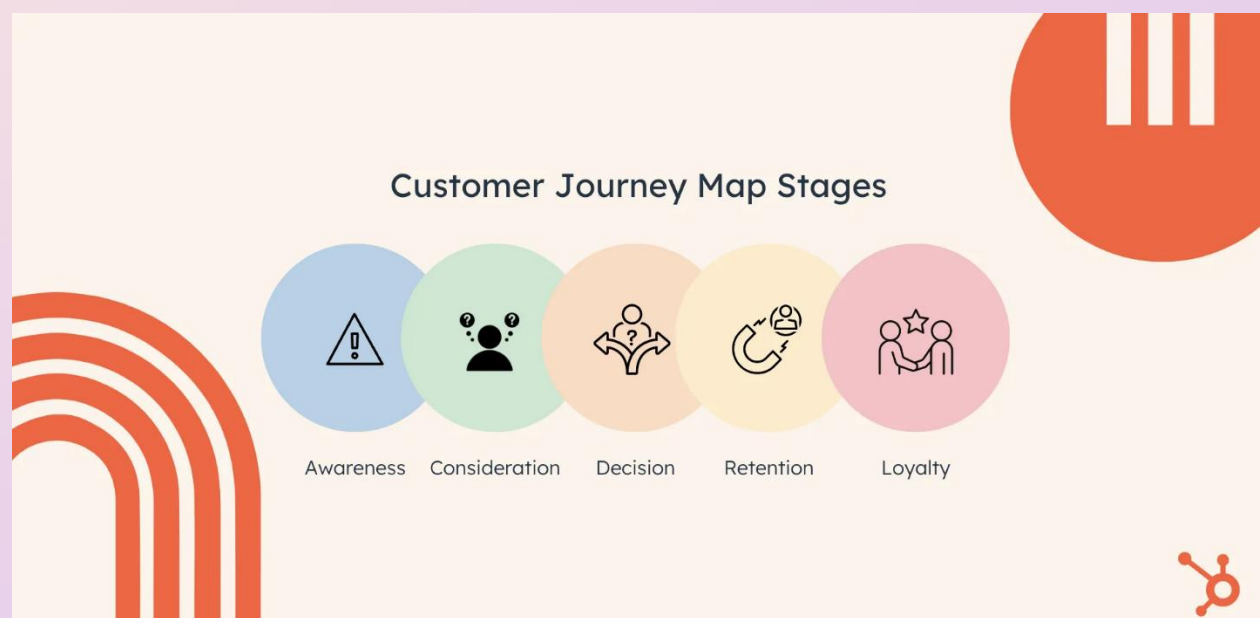
9. Platform Exit and Re-entry

- Log out of the app
- Take breaks from usage
- Reactivate dormant accounts

This user journey highlights the complexity and depth of Instagram's ecosystem. Each stage presents opportunities for engagement, growth, and potential improvements.

Key areas to focus on include:

- Enhancing the onboarding process to quickly connect users with relevant content and accounts
- Improving content discovery algorithms to keep users engaged
- Streamlining the content creation process to encourage more user-generated content
- Enhancing social features to strengthen community bonds
- Optimizing retention strategies to reduce churn and increase daily active users



GROWTH LOOP ANALYSIS:

To identify growth loops on Instagram and figuring out how users are driven to engage, share, and return to the app over time, Growth loops typically fall into three categories: Viral, Content, and Paid.

Viral Loops: How users invite others or share content that brings new users.

Content Loops: How users create and engage with content, which keeps them coming back.

Paid Loops: How paid promotions bring in new users and generate revenue.

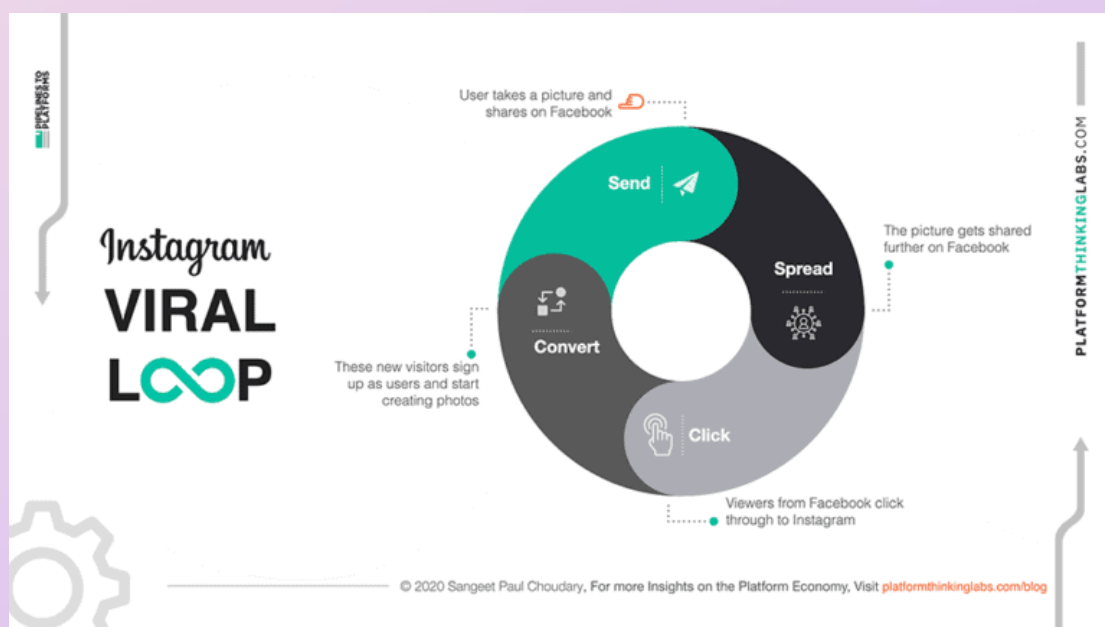
1. Viral Growth Loop

What: The viral growth loop at Instagram revolves around users creating and sharing content on the platform, which then gets shared by their friends and followers, leading to new user acquisition.

Who: The key participants in this loop are the existing Instagram users who actively create and share content, as well as their friends and followers who are exposed to and engage with the shared content.

Why: Users share content on Instagram for various reasons, such as:

- To express themselves and share their experiences with their social network.
- To build and maintain their personal brand and social status on the platform.
- To stay connected with their friends and family by sharing moments and updates.
- To discover and engage with content that aligns with their interests and passions.



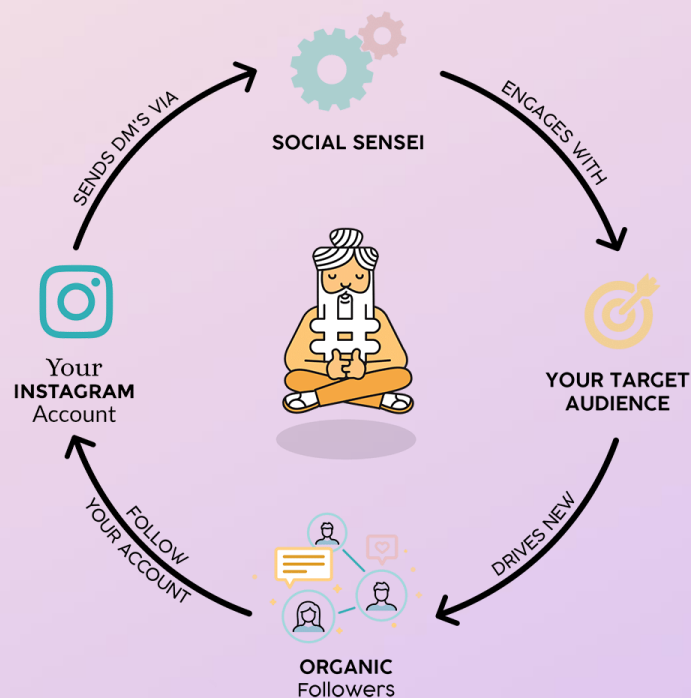
2. Content Growth Loop

What: The content growth loop involves users discovering, consuming, engaging with, and sharing high-quality, relevant content on the Instagram platform.

Who: This loop includes both existing Instagram users and new users who are attracted to the platform by the engaging content they discover.

Why: Users are drawn to Instagram for the diverse and engaging content they can consume, which can include:

- Entertaining and visually appealing posts (e.g., photos, videos, Reels).
- Informative and educational content (e.g., tutorials, educational posts).
- Content that aligns with their interests, hobbies, and passions.
- Content from influencers, creators, and businesses they follow.



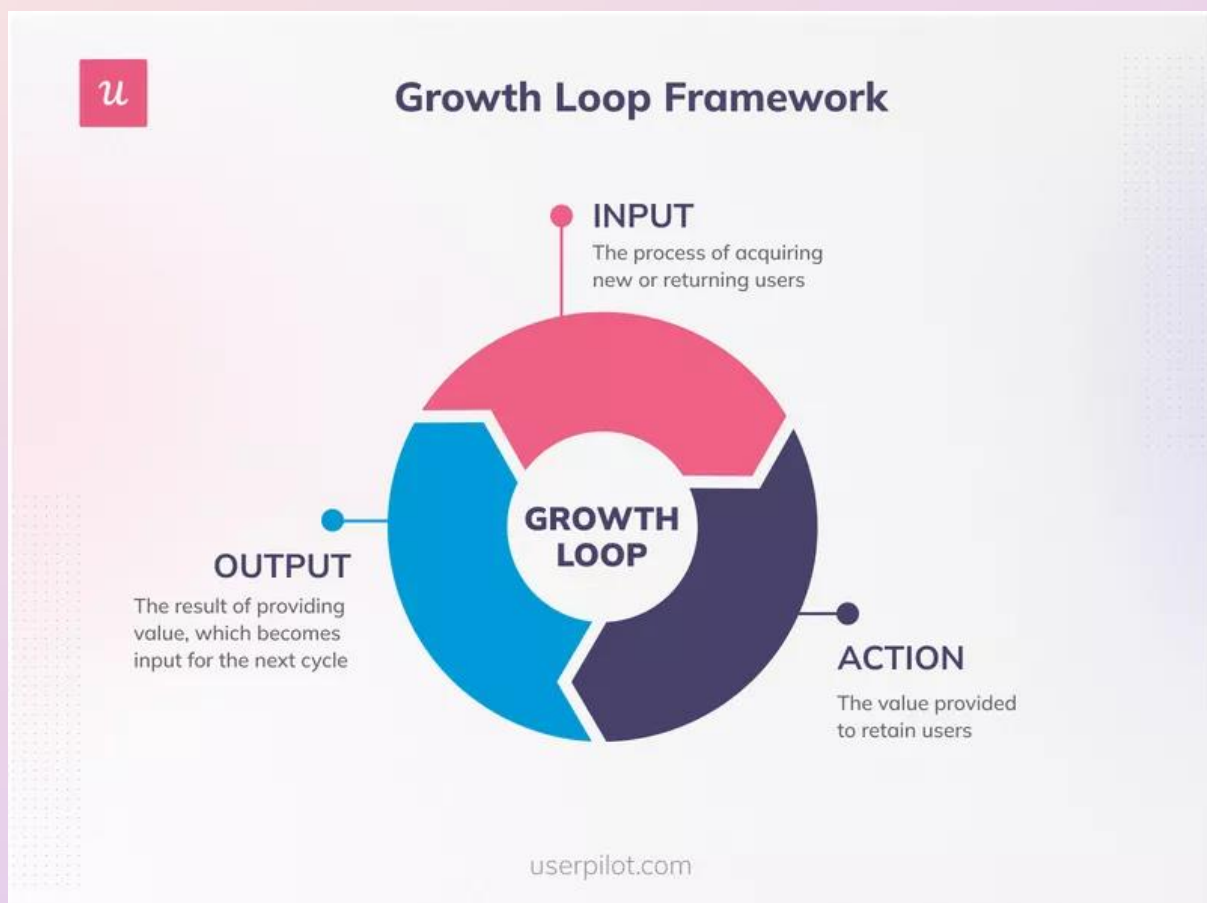
3. Paid Growth Loop

What: The paid growth loop on Instagram revolves around businesses and creators advertising and promoting their content to reach new audiences and drive desired actions, such as website visits, app installs, or purchases.

Who: The key participants in this loop are the advertisers, businesses, and creators who want to grow their presence and engagement on the Instagram platform.

Why: Advertisers and businesses use Instagram's advertising features to:

- Reach their target audience with relevant and personalized content.
- Increase brand awareness and visibility among potential customers.
- Drive specific actions, such as website visits, app installs, or product purchases.
- Measure the performance and effectiveness of their advertising campaigns.



Since we now understand the What, Who and Why, therefore by understanding the steps that drive the Viral Loop, we can identify specific areas for improvement.

For example, enhancing the sharing features or providing incentives for users to invite friends could lead to more viral growth.

This justifies the choice of focusing on the **Viral growth loop**. Let us deep dive into a detailed explanation for why choosing to improve the viral growth loop is a key factor:

1. Organic and Cost-Effective Growth:

Viral growth is often the most cost-effective way to acquire new users. Unlike paid acquisition, which requires continuous investment, viral growth leverages existing users to bring in new ones at little to no additional cost.

2. Network Effects:

Instagram, as a social media platform, heavily relies on network effects. The more users join and engage, the more valuable the platform becomes for everyone. Improving viral growth can accelerate these network effects, creating a virtuous cycle of growth.

3. User-Centric Approach:

Focusing on viral growth puts the emphasis on improving the user experience and making the platform more shareable and engaging. This aligns well with Instagram's core value proposition of connecting people through visual content.

4. Sustainability:

While paid growth can provide quick results, it's not always sustainable in the long term. Viral growth, on the other hand, can create a self-sustaining ecosystem of user acquisition and engagement.

5. Amplification of Other Growth Loops:

Improvements in the viral loop can positively impact both the content and paid growth loops as well. More viral sharing can lead to increased content creation and consumption, and a larger, more engaged user base can make the platform more attractive to advertisers.

6. Data Privacy Considerations:

With growing concerns about data privacy and changes in ad tracking policies (like Apple's App Tracking Transparency), relying heavily on paid acquisition may become more challenging. Viral growth provides a way to grow that is less dependent on extensive user data collection.

8. Potential for Innovation:

The viral loop offers numerous opportunities for creative improvements that can differentiate Instagram from competitors and create unique, shareable experiences for users.

While the content and paid growth loops are undoubtedly important, improving the viral growth loop seems to offer the best combination of potential impact, alignment with Instagram's core value proposition, and sustainability. However, in a real-world scenario, this decision would be backed by extensive data analysis, user research, and alignment with overall company strategy.

Improving the Viral Growth Loop

Based on the analysis, we can focus on improving the viral growth loop by enhancing the user sharing experience. The following Epics outline the key areas of improvement:

Epic 1: Improve Content Sharing Functionality

Description: This Epic aims to enhance the existing content sharing functionality on Instagram to make it more intuitive, engaging, and effective for users to share content with their friends and followers.

Rationale: Improving the content sharing experience will encourage more users to share content, which can lead to increased visibility, engagement, and new user acquisition through word-of-mouth and social sharing.

By making the sharing process more seamless and enjoyable, users will be more likely to share content regularly, driving the viral growth loop.

Epic 2: Implement Shareable Engagement Metrics

Description: This Epic involves introducing shareable engagement metrics (e.g., post views, likes, comments) that users can display on their profiles or share with their friends to incentivize content creation and sharing.

Rationale: Allowing users to showcase their engagement metrics can foster a sense of pride and accomplishment, motivating them to create and share more content to grow their personal brands and reach on the platform. This can also encourage friendly competition among users, leading to an increase in content creation and sharing, further fuelling the viral growth loop.

Epic 3: Optimize Referral Mechanics

Description: This Epic focuses on optimizing the referral mechanics on Instagram, such as improving the referral program, introducing new user incentives, and streamlining the referral process.

Rationale: Enhancing the referral mechanics will make it easier and more rewarding for users to invite their friends to join Instagram, leading to increased user acquisition and growth. By making the referral process more seamless and offering compelling incentives, users will be more motivated to share the platform with their social networks, further driving the viral growth loop.

RICE Prioritization

To prioritize the Epics, I have used the RICE framework, which considers the following factors:

Reach: The number of users or potential users the Epic can impact.

Impact: The expected benefit or improvement the Epic will bring to the business or user experience.

Confidence: The level of confidence in the Epic's ability to deliver the expected results.

Effort: The amount of resources (time, money, and effort) required to implement the Epic.

The RICE scores for each Epic are as follows:

Epic	Reach	Impact	Confidence	Effort	Score
Improve Content Sharing Functionality	4	5	4	3	80
Implement Shareable Engagement Metrics	3	4	4	4	48
Optimize Referral Mechanics	5	4	3	3	60

Based on the RICE scores, the prioritization of the Epics is as follows:

1. Improve Content Sharing Functionality

- **Reach:** High (4)
- **Impact:** Very High (5) – Streamlining sharing can significantly boost content distribution.
- **Confidence:** High (4) – Based on user engagement data and feedback.
- **Effort:** Medium (3) – Requires UX redesign and backend optimizations.

Elaboration: This epic aims to enhance the content sharing experience by introducing features like:

- One-click sharing to multiple platforms
- Customizable share sheets
- Improved sharing analytics for users
- Enhanced privacy controls for shared content

- The high reach reflects Instagram's large user base, while the very high impact is due to sharing's central role in viral growth.
- The confidence is high based on historical data on sharing feature updates
- The effort is considered medium due to the need for both front-end and back-end changes.

2. Implement Shareable Engagement Metrics

- **Reach:** Medium (3)
- **Impact:** High (4) – Can drive increased engagement and content creation.
- **Confidence:** High (80%) – Based on success of similar features on other platforms.
- **Effort:** High (4) – Requires significant backend work and new UI elements.

Elaboration: This epic involves creating new ways for users to share their Instagram success, including:

- Shareable "milestone" cards (e.g., "1 million likes achieved!")
 - Weekly/monthly engagement summaries
 - Comparative metrics with similar accounts
 - Integration of these metrics into Stories and posts
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- The reach is lower than the first epic as it may not appeal to all users.
 - The impact is high as it can motivate users to create more content.
 - Confidence is high based on the success of similar features on platforms like LinkedIn.
 - The effort is considered high due to the need for new data processing systems and UI designs.

3. Optimize Referral Mechanics

- **Reach:** Very high (5)
- **Impact:** High (4) – Can directly drive new user acquisition.
- **Confidence:** Medium (60%) – Success depends on incentive structure and user adoption.
- **Effort:** Medium (3) – Requires new feature development and integration with existing systems.

Elaboration: This epic focuses on improving Instagram's referral system through:

- In-app referral program with rewards for successful invites(referral codes etc)
 - Gamification elements (e.g., referral leader boards)
 - Improved tracking and analytics for referrals
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- The reach is high as this feature could be made available to all users.
 - The impact is high due to its direct effect on user acquisition.
 - Confidence is medium as the success of referral programs can vary.
 - The effort is medium, involving both new feature development and integration with existing user management systems.

These elaborations provide more context for the RICE scores and offer a clearer picture of what each epic entails. They also highlight the potential benefits and challenges associated with each proposed improvement to Instagram's viral growth loop.